‘AS EASY TO READ AS IT IS USEFUL AND WISE’

MORGAN HOUSEL

INTERNATIONAL EDITION

MAKE EPIC MONEY

ANKUR WARIKOO

MAKE EPIC MONEY

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'Simple, actionable, insightful. This is a must-read for anyone who wishes to achieve financial freedom.'
Sahil Bloom, investor, entrepreneur and creator

'This is the book I wished I'd read when I turned 18 – it would have simplified and supercharged my journey to financial freedom significantly.'
Ali Abdaal, *New York Times* and *Sunday Times* bestselling author, *Feel-Good Productivity*

'*Make Epic Money* proves that books on money don't need to be complex or intimidating. If you want an easy read that can help you take charge of your finances, this is the book for you.'
Nick Maggiulli, bestselling author, *Just Keep Buying* and *The Wealth Ladder*

'A must-read for everyone who wishes to build wealth.'
Nathan Barry, founder and CEO, ConvertKit

'Filled with actionable advice and simple but effective mindset shifts—this book is a must-read for anyone looking to finally get a grasp on their financial life.'
Dickie Bush, writer and founder Ship 30 for 30

'Warikoo's book is a must-read for every 20-year-old out there, who wishes to take charge of their money.'
Ana Lorena Fabrega, author, *The Learning Game*

'*Make Epic Money* is a hugely insightful book that will help you manage your money and grow your wealth.'
Alex & Books

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Dedicated to the rupees I wasted and
the wisdom I earned

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INTRODUCTION

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Congratulations!

You've picked the least likely author of a book on money!

- I'm not an expert.
- I don't have the right degrees.
- My money history? Pretty disastrous.

I'm not as cool as Ramit Sethi. Not as articulate as Morgan Housel.
Nowhere near as knowledgeable as Deepak Shenoy or Monika Halan.

So, if you're skimming this online or in a bookstore, this is your chance to escape, my friend.
Put this book away!

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But if you already have this book, imagine me in an Instagram reel, giving you:

3 reasons to read *Make Epic Money*:

1. We learn more from those who have made mistakes than from those who haven't.
   I've made many. Learnt from each one. Picked myself up.
   I'd love for you to not make the same mistakes I made.

2. I wonder why most books on money are so complex. Technical, intimidating, long.
   This book tries to answer one simple question:
   How can a book on money be both helpful and joyful for those in their 20s/30s, who've grown up in the Instagram and YouTube era?

3. I'm not trying to impress (I don't even have the qualifications to do so).

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I'm trying to help. To make finance fun.
This book will speak your language, not mine.
It will use your words, not mine.

Oh, before I move on.
Remember the golden rule: It's the book's job to hold your attention as much as it is yours to give it attention.
So if, at any point, this book becomes boring, drop it! No pressure.
There are more awesome books on money out there.
If you're still with me, here's the backstory.
Of money and me.

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We grew up without money.
My dad worked in sales and marketing for almost all his career. Mom was a primary school teacher.
A family aspiring to escape the middle-class curse.
Credit cards. Personal Loans. Buying more than we could afford.
Those were the methods we used.
We were always in debt. Unsurprisingly.

My parents' dreams for financial security (maybe even prosperity!) were pinned on my sister and me.

I was told there was a proven process for achieving it:

- Study hard
- Get a good job
- Work hard
- Get promoted
- Earn well
- Live happily ever after

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I was convinced.

So I studied hard. Became the teacher's pet.
Won a scholarship for a PhD in the US.
Pursued an MBA. Became a management consultant.
Earned well.
Then became a founder, with dreams of becoming a billionaire!

I spent my 20s and 30s chasing a plan that I was convinced would work for me. Until it didn't.
At 39, I had no money in the bank.
I had stepped down as the CEO of my start-up and had no source of income.
I had paper wealth that did not amount to anything.
No assets to speak of.
Plus a family to take care of.

FML! HOW could this have happened?

I reflected. Read. Listened. Thought. Deciphered.

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And figured that no one—school, college, parents—had taught me anything about money.

All that I was taught was how to earn a living.

Frankly, this book is for the 20-year-old me.
And for everyone like me.
Who was prescribed a blueprint for life but was never told how to manage money.
Or how to make money work for me.

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Make Epic Money has a simple message.

Your background. Insufficient knowledge. Limited experience. Lack of expertise.
These are NOT the things that hold you back from making money.
From building wealth.
From living the life you deserve.
What holds you back are your deep-rooted beliefs.

The beliefs that tell you that:
- Middle-class people rarely get rich.
- You have too many financial obligations.
- Money is too complicated to understand.
- Salary is the only source of income.
- Only rich or lucky people get wealthy.

Your beliefs can ruin you financially.
Or they can set you up for life.
Change your beliefs, change everything.

This book is an attempt to challenge and provoke you to change your beliefs.
So you don't make the same mistakes I made.

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This book is designed to be a light read.
Each chapter is independent of the others.
So play around with it.

Every day, read a few pages.
Come back to it the next day.
When the book gets boring, drop it.

In the end, take 5 ideas from this book.
Your choice, any 5!
Apply them to your life. Follow them consistently.
Make them your unbreakable money beliefs.

If you do just this, you've started your journey to financial independence.
Towards building wealth.

I am excited for you!

A note to my international readers. You are reading the international edition of my book. I wrote this book originally from an Indian perspective. And always with my experience of

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managing my finances in India. There are obvious differences in financial regulations as well as financial services on offer in different countries. The money beliefs and mindset I advocate for are applicable to anyone, regardless of where they live. But some of the services and/or rates will differ. Wherever possible, I have thought of their international equivalents. Remember to check in with trusted and accredited financial advisors when purchasing plans or considering investments.

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WHY SHOULD I EVEN CARE ABOUT MONEY?

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'Money does not buy you happiness, but lack of money certainly buys you misery.'

—Daniel Kahneman

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In Money We Trust. And That's Why It Works!

Let's figure out how money came into being in the first place.

We began with an exchange.

Picture this:
I want 1 egg.
You want 1 potato.
We agreed to exchange. Or barter, if you want to be fancy!

Simple enough.

But at some point, eggs become really valuable. Now to get 2 eggs, people want 7 potatoes in barter.

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Okay, but what if I want only 1 egg?
That will exchange for 3.5 potatoes.
What's the deal with the fractions, bro?
No one else will trade for half a potato!

And what if I want 50 eggs?
I have to lug around 175 potatoes.
That's inconvenient.

Then, along came a wise dude.
'Give me your potatoes, and I'll hand you some pieces of paper.
Each paper is worth 1 potato or 0.5 or 2 potatoes or 5/10/20/50/100.'
'It's proof that I have your potatoes with me,' he said. 'Just bring the papers back if you ever want the potatoes.'

And he puts a unique stamp on these papers to prove he's legit.
Now, instead of carrying the potatoes, I carry these pieces of stamped paper.
Genius!

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That's pretty much how money started—at least the way we see it today.
Ever notice the statement 'I promise to pay the bearer the sum of five hundred rupees' on a ₹500 note, signed by the RBI governor?*
That's our potato paper in its swanky new avatar!

Think about it for a second.
We trust a piece of paper, signed by someone whose name we most likely don't even know.
It's not just us—the entire world seems to trust this paper.
Irrespective of who they are or where they're from.

The supermarket gives you groceries in return for your paper notes because they trust the bank and the government to back the transaction.
You grind at work to get your salary credited to your bank account in the form of digital money you can't see.

* Some different currency notes also display the same statement, including in the United Kingdom, for example.

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But that's cool because Amazon, Apple Pay, eBay, Google Pay, Mastercard, Visa—they all trust it, and they'll take it.
They may not know or trust you, but they trust money.

It's mind-blowing. Money only works because we all believe in it.
Money is the BEST example of trust in this world.

'Money is the only trust system created by humans that can bridge almost any cultural gap . . . It's the most universal and most efficient system of mutual trust ever devised.'

—Yuval Noah Harari, *Sapiens: A Brief History of Humankind*

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Can Money Buy Happiness?

We use money every day, all the time.
We need it to survive.

But it's so much more than that!

While you might look at money as something with which to buy things and luxury, the TRUE power of money goes beyond that.

Here are 10 things that money can buy:

1. Peace of mind
   Knowing that school fees, EMIs*, salaries are covered.
   Knowing that everyone you're responsible for is taken care of.

2. Health
   Quality health care. Insurance.
   Healthy food, gym memberships, fitness classes, wellness programmes.

*EMIs stand for Equated Monthly Installment - these are periodic set payments to settle an outstanding loan.

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3. Quality food
   Junk food is cheap for a reason. It's bad for us.
   Good-quality, healthy food is a luxury that money can buy.

4. Safety
   The privilege of having our own transport.
   Living in a safe neighbourhood. Being able to afford security.

5. Options
   This college or that?
   A job for learning or money?
   Take a break from work or continue the grind?
   Money lets us choose.

6. Comfort
   A quality mattress. Good shoes. Warm clothes.
   Heating, air conditioning, cool gadgets.

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7. Courage
   Money backs us up when we take risks. Cushions the fear of failure.
   It helps us explore, learn and be audacious.

8. Happy family
   Money lets us surprise our parents, siblings, partners, friends with what they have always craved.

9. Experiences
   Travel, concerts, safaris, cruises, once-in-a-lifetime events.
   Experience the best of what the world has to offer.

10. Freedom
    To slow down, because we want to.
    Do more, because we want to.
    Live life how we want to.

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The true purpose of money is NOT to help us buy things.
The true purpose of money is to grant us freedom—over our time, our choices and the way we lead our lives.

Imagine a world, where:
You wake up at your own pace, no alarm.
You have a lovely morning routine, doing things you love.
Have a nice, chill breakfast: you feel no rush.
You stay close to office. Or work from home. No traffic jams.
You work through the day. It's challenging work, but joyful work.
You genuinely enjoy your work.
In the evening you try something new, go for a swim, chill with friends or just relax.
You wind up the day, feeling grateful. No stress.

Total freedom to do
whatever you want,
whichever way you want,
whenever you want.

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This is a life that we can build for ourselves. Once we understand how to stop working for money and, instead, make money work for us.

'The ability to do what you want, when you want, with who you want, for as long as you want to, pays the highest dividend that exists in finance.'

—Morgan Housel,
The Psychology of Money

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NOW, I REALLY WANT TO EARN SOME MONEY!

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'There's a limit to how much you can cut.
There's no limit to how much you can earn.'

—Ramit Sethi,
I Will Teach You to Be Rich

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